

Tax Planning Report

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Tax Optimization for Employed California Doctor

Goal: Minimize tax liability while maximizing savings

Potential Tax Savings

\$2,500

Estimated New Total Tax

\$8,500



Key Strategies

Maximize Retirement Contributions

High Impact Immediate

*** Increase 401k, 403b contributions.*

Overview: Maximize your retirement contributions to reduce current taxable income while building long-term wealth.

Implementation Steps:

1. Contribute maximum to employer 401(k) - up to \$23,000 (2024 limit)
2. Add catch-up contributions if 50+ - additional \$7,500
3. Open Traditional IRA for additional \$7,000 deduction
4. Consider Roth conversions during lower-income years

Benefits:

- Immediate tax deduction on contributions
- Tax-deferred growth on investments
- Potential employer matching (free money)

- Builds retirement security

Important Considerations:

- Funds locked until age 59½ (with exceptions)
- Required minimum distributions at 73
- Income limits may apply to IRA deductibility

*** Deduct professional development expenses.*

Overview: Tax-efficient investment strategies can minimize your tax burden while growing your wealth.

Implementation Steps:

1. Prioritize tax-advantaged accounts (401k, IRA, HSA)
2. Use tax-loss harvesting in taxable accounts
3. Hold investments over 1 year for long-term capital gains
4. Consider municipal bonds if in high tax bracket

Benefits:

- Lower long-term capital gains rates
- Tax-loss harvesting reduces current taxes
- Municipal bond interest often tax-free

- Compound growth in tax-deferred accounts

Important Considerations:

- Wash sale rules apply to tax-loss harvesting
- State taxes may apply to municipal bonds
- Investment risks remain
- Rebalancing may trigger taxes

*** Review professional liability insurance.*

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Account Optimization

Medium Impact Medium-term

*** Utilize HSA, dependent care FSA.*

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✂ Actionable Next Steps

1. Increase contributions to retirement accounts to the annual limit.
2. Keep track and deduct any professional development and CME expenses.

 Final Reminder

This analysis is for educational purposes. Please consult with a qualified tax professional before implementing any tax strategies.